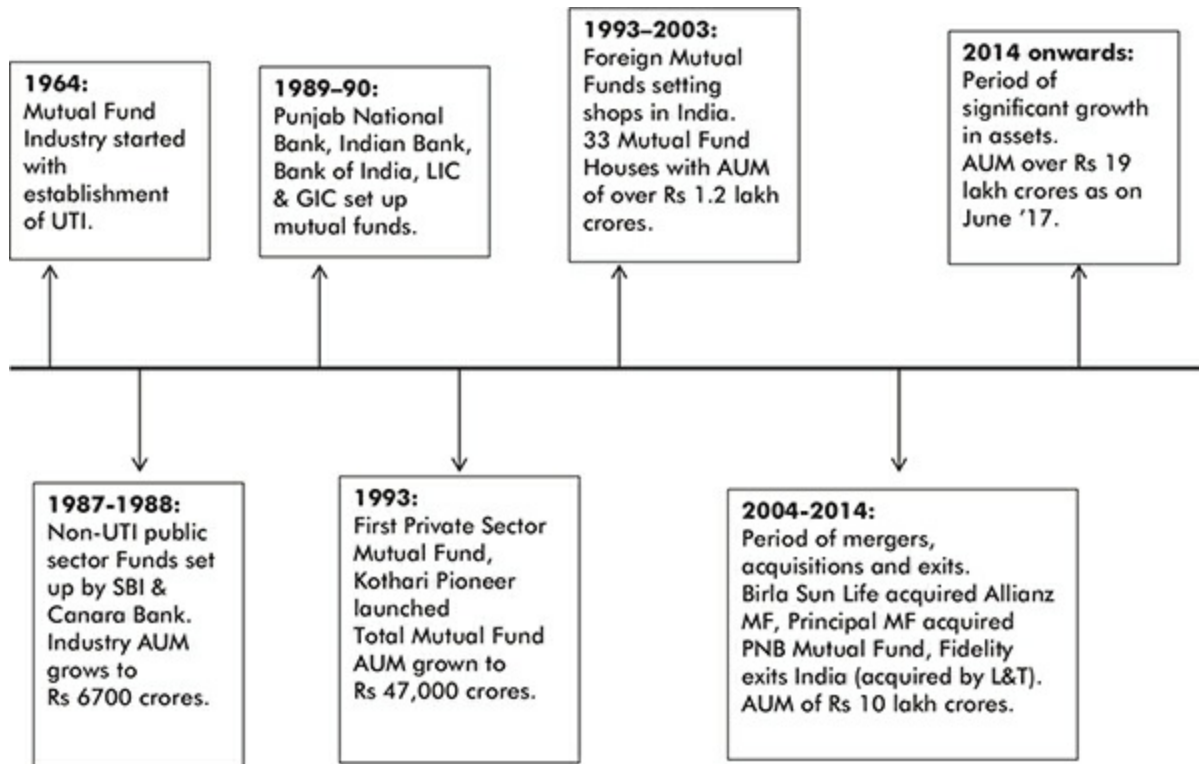


Exhibit 20: The evolution of mutual funds in India



Source: AMFI

The early years of mutual funds: An era of high expenses

Fund expenses are the financial cost of investing in a fund. Typically, there are three types of costs that investors have to bear: entry load, exit load and recurring expenses. Recurring expenses include the fund management fee and various other operational costs like broking, custody, fund accounting, compliance and marketing fees. Entry and exit loads are the additional expenses that funds can charge the investor. A decade ago, mutual funds used to charge 2.25 per cent as upfront fees or entry loads. While SEBI has abolished entry loads in mutual funds, exit loads are still being charged. Most of the equity funds charge a 1 per cent exit load if investors redeem in less than a year.